Step 1: Define the Lifestyle

Define the lifestyle you want and its associated costs. Do you want the big house or the nonprofit foundation? What exactly do you want? Write everything down. For the purpose of this exercise, I will play along.

Three cars: a Mercedes, a hybrid, and a minivan
A 6,000-square-foot house with a fountain, pool, and waterfall
A small cabin in the mountains
The ability to travel three months a year
Private school for my children

Step 2: Assess the Cost

Determine the monthly cost for each, including all associated taxes and insurance.

Three cars: $2,000
House: $5,000
Cabin: $1,000
Travel: $1,000
Private School: $1,000

Lifestyle Cost = $10,000*/month*

Next, determine your monthly allowance and other unknowns. This is for stuff like clothes, gadgets, toys for the children, health insurance, etc. Add this to your Lifestyle Cost to arrive at your Gross Living Cost.

Gross Living Cost = $10,000/mo. (Lifestyle Cost) + $4,000/mo. (Allowances)
Gross Living Cost = $14,000/mo.

Next, determine your Net Living Cost by dividing Gross Living Cost by .60, or 60%. This will account for potential taxes.

Net Living Cost = $14,000 / .60 = $23,333/mo.

Step 3: Set the Targets

The goal of this step is to set your two targets: the *business system* income target and the *money system* target. To calculate your money system target, multiply your Net Living Cost by 12, then divide by .05, or 5%. Five percent is the minimum expected yield on a money system.

Money System Target = ($23,333 × 12) / .05 = $5,599,920